

Financial System from Conventional and Islamic Perspectives

*****Definition of Financial System***

“A financial system refers to the set of institutions, markets, instruments, and mechanisms through which funds are transferred from savers to borrowers within an economy. It plays a central role in mobilizing savings, facilitating investment, and supporting economic activities.”

According to Paul Samuelson, a financial system can be understood as the framework that enables the flow of funds between different sectors of the economy, ensuring that resources are allocated efficiently to productive uses. In simple terms, it acts as a bridge between those who have surplus funds (savers) and those who need funds (investors or borrowers).

Thus, a financial system is not just limited to banks; it includes a wide network of financial institutions, markets, instruments, and services that collectively support economic growth.

*****Meaning and Scope of Financial System***

The financial system represents the lifeline of any modern economy. It facilitates the smooth circulation of money and credit, which are essential for production, consumption, and investment activities.

Meaning:

At its core, a financial system is a mechanism that collects savings, channels them into productive investments, and provides financial services such as lending, borrowing, and risk management.

Scope:

The scope includes financial institutions, financial markets, financial instruments, and financial services.

*****Flow of Funds in the Economy***

Savers (surplus units) provide funds, financial institutions channel these funds, and borrowers (deficit units) use them for investment and development.

*****Key Features of Financial System***

Intermediation, liquidity provision, risk management, efficiency, and stability.

**** Concept of Financial System**

What is a Financial System?

A financial system is a comprehensive network that facilitates the creation, exchange, and management of financial resources in an economy. It ensures that funds are efficiently transferred from surplus units to deficit units, thereby supporting economic development.

It performs three core functions: mobilization of savings, allocation of capital, and facilitation of transactions.

**** Components of Financial System**

The financial system consists of financial institutions, financial markets, and financial instruments.

Financial Institutions include banks, insurance companies, and microfinance institutions that act as intermediaries.

Financial Markets include money markets (short-term funds) and capital markets (long-term funds).

Financial Instruments include debt instruments (bonds), equity instruments (shares), and hybrid instruments.

*** Flow of Funds Mechanism**

Funds flow through two channels: direct finance (no intermediary) and indirect finance (through institutions like banks).

*** Functions of Financial System**

Promotes economic growth, provides liquidity, facilitates payments, diversifies risk, and provides information.

*** Characteristics of a Developed Financial System**

Includes stability, efficiency, inclusiveness, transparency, and strong regulation.

****Importance of Financial System**

The financial system plays a vital role in the functioning and development of any economy. It facilitates the efficient movement of funds and supports investment, production, and consumption.

Mobilization of Savings

The financial system collects savings from individuals and redirects them into productive investments. For example, banks use deposits to provide loans to businesses.

Capital Formation

It converts savings into investment, supporting infrastructure and industrial development.

Efficient Allocation of Resources

Funds are allocated to productive and profitable uses, increasing efficiency.

Facilitating Trade and Commerce

Provides payment systems and credit facilities that support domestic and international trade.

Risk Management and Diversification

Offers insurance and diversified investment opportunities to reduce risk.

Liquidity Provision

Ensures that financial assets can be easily converted into cash.

Economic Stability

Helps regulate money supply and maintain stability through institutions like central banks.

Promotion of Entrepreneurship

Provides funding for startups and small businesses, encouraging innovation and job creation.

Financial Inclusion

Ensures access to financial services for all segments of society.

Concept of Islamic Financial System

The Islamic financial system is a system of financial activities that operates in accordance with the principles of Islamic law (Shariah). Unlike the conventional financial system, which is primarily based on interest (riba) and profit maximization, the Islamic financial system emphasizes ethical values, social justice, and fairness in economic transactions. It is designed not only to generate profit but also to ensure equitable distribution of wealth and promote socio-economic welfare.

***Definition of Islamic financial system:** The Islamic financial system can be defined as a financial framework that operates according to Shariah principles, where all financial transactions must comply with Islamic laws derived from the Qur'an and Sunnah.

Foundations of Islamic Financial System

The Islamic financial system can be defined as a financial framework that operates according to Shariah principles, where all financial transactions must comply with Islamic laws derived from the Qur'an and Sunnah. These principles provide a comprehensive ethical and economic framework governing financial activities.

1. The Qur'an (Primary Source)

The Qur'an is the fundamental source of Islamic law. It provides direct guidance on financial transactions and strictly prohibits riba (interest). It promotes justice, fairness, fulfillment of contracts, and discourages fraud and exploitation.

2. Sunnah (Practice of Prophet Muhammad - PBUH)

The Sunnah explains how financial principles should be applied in practice. It includes guidance on trade, partnerships, profit-sharing, and prohibits uncertainty (gharar) and gambling (maysir). It emphasizes honesty and trust in business.

3. Ijma (Consensus of Scholars)

Ijma refers to the agreement among Islamic scholars on financial matters. It helps address modern financial issues and ensures consistency in Islamic finance practices. Many contemporary Islamic financial instruments are developed through scholarly consensus.

4. Qiyas (Analogical Reasoning)

Qiyas involves applying established principles to new financial situations through analogy. It allows flexibility and adaptation of Islamic finance to modern developments.

Difference between Islamic and Conventional Financial System

Basis	Islamic Financial System	Conventional Financial System
Fundamental Principle	Based on Shariah emphasizing justice and ethics	Based on profit maximization
Source of Law	Qur'an, Sunnah, Ijma, Qiyas	Man-made laws and regulations
Interest (Riba)	Strictly prohibited	Core component
Profit Generation	Trade and risk-sharing	Interest-based lending
Risk Sharing	Shared between parties	Transferred to borrower
Nature of Financing	Asset-backed	Not necessarily asset-backed
Ethics	Strong ethical restrictions	Limited ethical concern
Wealth Distribution	Promotes equality (Zakat)	Not primary concern
Social Welfare	Important objective	Secondary
Financial Instruments	Mudarabah, Musharakah, Sukuk	Loans, bonds, derivatives
Role of Money	Medium of exchange	Commodity
Speculation	Discouraged	Common
Banking	Profit-sharing	Interest-based
Objective	Justice and welfare	Profit maximization